development of the people and the state to wasteful purposes such as engaging in conflicts and war with other states, or simply engaging in arms escalation resulting in unhealthy arms race with the opponent state, thus obstructing the path of development and continuing their phenomena of dependence.

Transfer of Technology

Transfer of technology is an endeavour on the part of the Third World countries to acquire technology, knowledge, skills, methods, designs and specialized equipments from foreign sources. This, however, only adds up to the burden of the poor developing countries. One UNCTAD (United Nations Conference on Trade and Development) study points out that contracts for transferring technology involves purchases and even imports of raw materials and intermediate inputs resulting in an increase in cost of such transfers and also raises unit costs. This restrains the healthy growth of the economies of the developing countries.

Cultural Device

One variant of neo-colonialism theory suggests the existence of *cultural colonialism*, the alleged desire of wealthy nations to control other nations' values and perceptions through cultural means, such as media, language, education and religion, purportedly ultimately for economic reasons. For this, they use the latest innovations in information and technology, mass media, particularly television with multiple channels, movies, Internet and other devices, to impose a sort of cultural domination on the people of the Third World countries.

The overall international scenario bears testimony to the great divide between the rich and the poor states in the world, with the former extracting the maximum benefits by exploiting the economies and resources, whether natural or human, of the poor countries. The result is that the poor countries remain poor and the rich countries get richer. The World Bank has produced a list of 140 'failed' states which are either developing countries or former socialist countries, but with huge natural resources. In the wake of such a situation, neo-colonialism is assuming its old character of colonialism but in a new